

the scallop shown in the figure portray this feature? No. Point A is too close to the price of B, making it look like an inverted U, not a J.

This illustration also brings up the question of where the pattern starts. If you chose C as the starting point, then the pattern is clearly wrong, because C is below B. Choosing A as the first turning point puts the start slightly above B, but still not far enough.

Suppose that A and B are fine. Look at the width compared to the height. The decline from D to B is not proportional to the width. In other words, a pattern this wide should have a longer decline.

In the patterns I looked at, the average decline from D to B is twice the distance from D to A. That is a guideline to keep in mind.

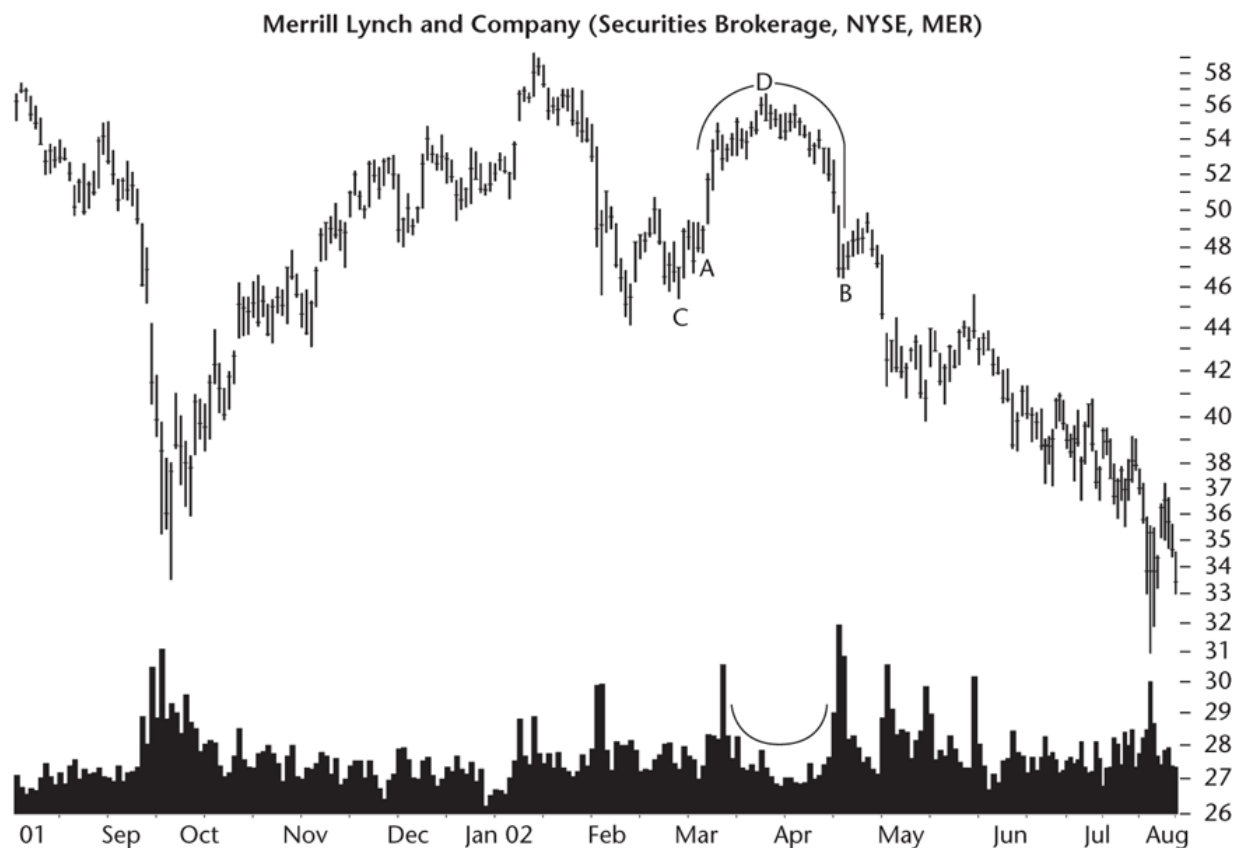


Figure 60.3 A pattern failure: Price at A should be well above B.

Statistics

Table 60.2 shows general statistics for scallops.